

Facebook Antitrust Law

Federal Trade Commission v. Facebook Inc.

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1. Why this topic

Big Tech: Major technology companies including Apple, Google, Amazon, Facebook, Microsoft



2. Brief summary

What is the antitrust law?

The antitrust law is any law that restricts business practices that are considered unfair or monopolistic—restricting competition in the market.

EX) ensuring mergers don't overly concentrate the market, breaking up monopolies, preventing collusion/cartels that are designed to fix prices, promoting competition

Who is suing whom?

Federal trade Commission is suing Facebook

Social networking market

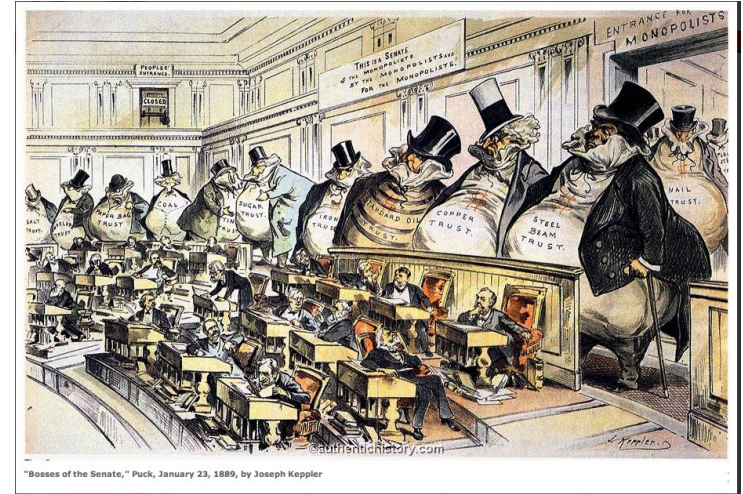
Harmful to economy?

Difficulty of this particular antitrust law case: because of the nature of Facebook. A Big Tech company, where most of its products and services are free for consumers.



3. Related laws

- Sherman Antitrust Act of 1890
- Clayton Antitrust Act of 1914
- Federal Trade Commission Act of 1914



3. Related laws

Sections 2 of the Sherman Act (1890)

“Every person who shall monopolize, or attempt to monopolize, or combine or conspire with any other person or persons, to monopolize any part of the trade or commerce among the several states, or with foreign nations, shall be deemed guilty of a [felony].”

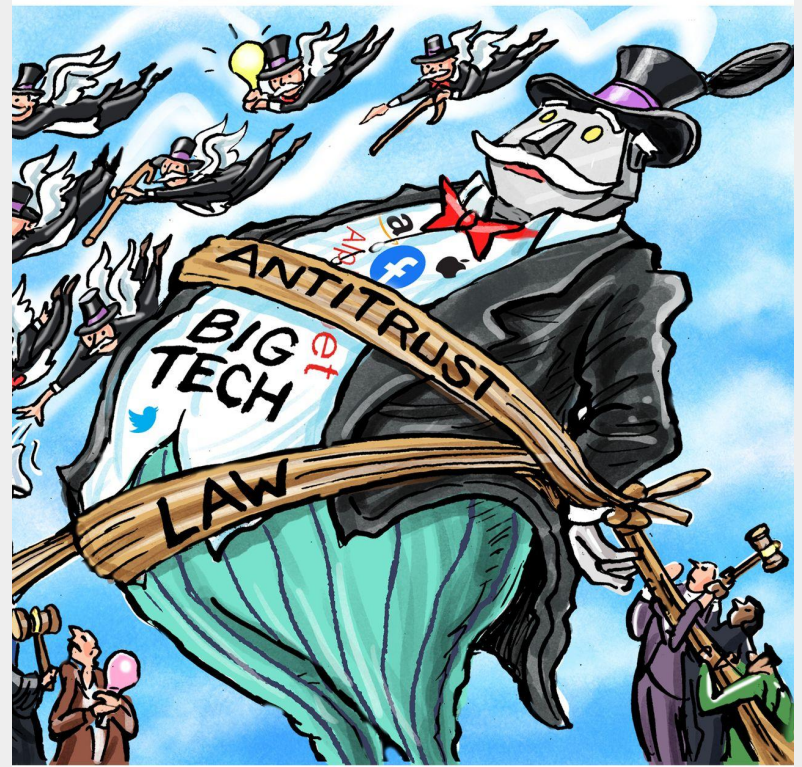
Section 7 of the Clayton Act (1914)

Mergers and acquisitions where the effect "may be substantially to lessen competition, or to tend to create a monopoly" are prohibited.

Section 5 of the Federal Trade Commission Act (1914)

“unfair or deceptive acts or practices in or affecting commerce . . . are . . . declared unlawful.”

Has Facebook
become an entity
that abuses its
dominance?



4. Each party's argument



small number of IT technology dinosaur company have illegally monopolized the market.

- tried to regulate the big company's antitrust.
- filed a lawsuit in December 2021
- Facebook strengthened its market dominance and monopolized the market by acquiring potential future competitors such as Instagram and WhatsApp instead of competing with them.



4. Each party's argument



Prosecutors in 46 states also made similar claims, claiming that Facebook reduced personal privacy and exploited user data because there were no competitors to compete

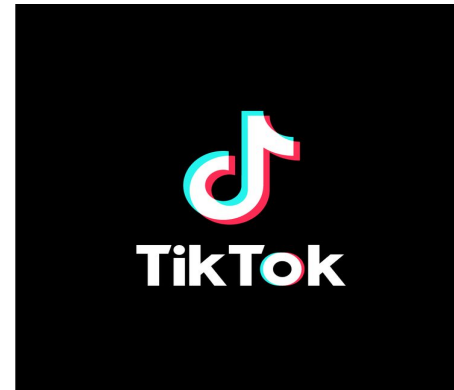


Senator Richard Blumenthal, Democrat of Connecticut, said, “[Facebook](#)’s reign of unaccountable, abusive practices against consumers, competitors and innovation must end.”

4. Each party's argument



-Facebook is just an option in the rapidly growing social media industry of new competitors such as "TikTok."
-it could not convincingly argue that they are monopolizing the market. Because regulators have failed to prove that it raised prices or imposed restrictions on its products at a time when their products are provided unlimitedly for free.



4. Each party's argument



The court directly expressed skepticism about the view that 'Facebook=exclusive'.

Washington Federal Court Judge James Boseberg pointed out, "The FTC seems to expect the court to simply acknowledge the social conventional wisdom that 'Facebook is a monopoly'." It is interpreted that there is no "eternal No. 1" in the SNS industry, where new competitors enter countless times and change rapidly.

5. Conclusion

June 28, 2021

The U.S. District Court for the District of Columbia **dismissed** the FTC's antitrust case against Facebook.

How & What?

Facebook owned “in excess of 60%” of the “personal social networking” market



5. Conclusion

Judge James Boasberg

Sites like Facebook “are free to use, and the **exact metes and bounds of what even constitutes a [personal social network] service... are hardly crystal clear.**”



5. Conclusion

“The FTC’s inability to offer any indication of the metric(s) or method(s) it used to calculate Facebook’s market share renders its **vague ‘60%-plus’** assertion **too speculative and conclusory** to go forward.”



5. Conclusion

Current Situation

- January 11, 2022: A federal judge ruled the FTC could proceed with its revised antitrust case against Facebook & rejected Facebook's request to dismiss the lawsuit.
- Last week: The Biden administration boosts support for antitrust efforts



Sources

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Thank you!